

Table 39.4 Breakout and Post-Breakout Statistics

Description	Bull Market	Bear Market
Breakout direction	100% up	100% up
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 45%, M 46%, H 44%	L 30%, M 26%, H 28%
Throwbacks occurrence	65%	66%
Average time to throwback peaks	7% in 6 days	8% in 6 days
Average time to throwback ends	12 days	11 days
Average rise for patterns with throwbacks	43%	25%
Average rise for patterns without throwbacks	50%	33%
Percentage price resumes trend	75%	65%
Performance with breakout day gap	48%	32%
Performance without breakout day gap	45%	27%
Average gap size	\$0.43	\$0.76

Bear markets show a steeper progression, from 9% to 29% to 42%.

In bull markets, the median failure rate is 27.5% and in bear markets, it's 18.7%.

Table 39.4 shows breakout-related statistics.

Breakout direction. By definition, the breakout is always upward. If price closes below the head first, then you don't have a head-and-shoulders bottom. In fact, a close below the right shoulder would make the pattern look weird, too. However, it might be forming a complex head-and-shoulders bottom.

Yearly position, performance. Head-and-shoulders patterns in bull markets do not show a significant performance difference depending on where in the yearly high–low price range the breakout resides. The numbers say the middle third perform best. In bear markets, those near the yearly low do best.